The Commodities Feed: Trump's 'Project Freedom' pause weighs on oil prices

The oil market has come under renewed pressure as the US-Iran ceasefire appears to still be holding despite a recent flare-up in tensions

Energy - Saudis cut oil prices

Oil prices are under renewed pressure as the ceasefire between the US and Iran appears to be holding despite recent escalation in the Persian Gulf. Meanwhile, the market sold off further in early morning trading today after President Trump paused "Project Freedom" as the US seeks a deal to end the war with Iran. Trump said "great progress" has been made towards a "complete and final agreement". "Project Freedom" is Trump's plan to guide stranded commercial vessels in the Persian Gulf through the Strait of Hormuz. Its implementation led to a flare-up in tensions between the US and Iran. Looking ahead, developments in the Middle East will remain key to price direction.

A deal that normalises oil flows through the Strait of Hormuz is crucial. Roughly 13 mb/d of disrupted supply is being largely offset by inventory, which is clearly declining rapidly. This leaves the market more vulnerable with each passing day. Tighter stocks will only leave the oil market trading in an ever more volatile manner.

US oil inventory numbers from the American Petroleum Institute (API) show that crude oil inventories fell by 8.1m barrels over the last week. Gasoline and distillate stocks fell by 6.1m barrels and 4.6m barrels, respectively. The more widely followed Energy Information Administration (EIA) inventory data will be released today. Ahead of the release, US commercial crude oil inventories remain comfortable, at 459m barrels, slightly over 1% above the seasonal 5-year average. Yet this can change quickly, particularly if we continue to see record US crude oil exports.

US refined product stocks are a lot tighter heading into the release. US gasoline inventories stand at a little more than 222m barrels, down from 259m barrels in early February and at the lowest level for this time of year since 2014. Distillate stocks stand at a little under 104m barrels, the lowest level for this time of year since 2005. Tighter product markets should continue to see refined product cracks trading at elevated levels.

Saudi Arabia cut its official selling price for its flagship Arab Light to Asia for June. The OSP was cut from a record US$19.50/bbl premium over the benchmark in May to US$15.50/bbl. This is still the second-highest OSP on record. Crucially, this price assumes loadings from Ras Tanura, which sits in the Persian Gulf. This is clearly not happening. Instead, crude is being loaded at Yanbu on the Red Sea coast. As a result, final prices may be higher to reflect the logistical costs of shipping from the Red Sea.

Metals – Geopolitical risks keep copper volatile

Copper edged higher as markets assessed whether the US-Iran ceasefire can hold. LME copper recovered on Tuesday afternoon from earlier losses in the session to trade back above $13,000/t. It's supported by improved risk sentiment but capped by still-elevated exchange inventories, now close to the highest level since 2013.

The main risk for metals remains a prolonged closure of the Strait of Hormuz. That would lift energy costs, add inflation pressure and weigh on manufacturing demand, limiting upside for industrial metals. Copper is likely to stay headline-driven, with stronger physical demand or inventory drawdowns needed for a more sustained move higher.

In precious metals, gold rose as the US-Iran ceasefire appeared to hold. This is easing fears of a broader conflict while keeping some safe-haven demand intact.

A more durable truce would reduce energy-led inflation risks and lower the chance of further Federal Reserve tightening, which is supportive for non-yielding assets. For gold, the next driver will be the outlook for interest rates, with US Treasury borrowing plans and key economic data likely to shape expectations for Fed policy. The main downside risk is a stronger dollar or renewed Fed pushback on easing.

Meanwhile, World Gold Council data showed central banks turned net sellers of gold in March, with net sales of around 30t, although purchases in the first quarter still totalled 27t. Turkey led the selling, cutting holdings by 60t as part of efforts to support FX liquidity, taking its 1Q net sales to 79t. Buying remained concentrated, with Poland adding 11t in March and 31t year to date. China extended its buying streak to a seventeenth month, adding 5t. This points to a slower but still positive trend in official-sector demand, with reserve diversification remaining supportive for gold over the medium term.

Agriculture – Cocoa rallies on supply concerns

London cocoa surged more than 15% yesterday, with prices breaking back above GBP3,000/t, as market attention turned to growing supply risks for the upcoming season. Early indications for the 2026/27 crop point to weaker than normal pod development, suggesting a slower start to the main harvest beginning in October. These concerns are reinforced by the potential for a return to stronger El Niño conditions. This could bring hotter and drier weather to key producing regions such as Ecuador and Indonesia, further threatening output.

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Watch: How two-way risks are dividing the Fed's policy outlook

The Federal Reserve remains split on where exactly rates are headed. If an agreement is reached that allows the Strait of Hormuz to be reopened and gas and oil flows to resume, rate cuts are still more likely than hikes, says ING's James Knightley

How two-way risks are dividing the Fed's policy outlook

US inflation remains sticky and could rise again if energy prices jump, while growth and wage data are cooling. That mix is leaving the central bank on a more uncertain footing ahead of its incoming leadership transition

Watch video

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Rates Spark: Triple-whammy for gilts

The 10Y gilt yield is hitting new records and politics could turn a double-whammy into a triple-whammy. Meanwhile, the US yields backdrop has come off extremes, but the problems that drove us there remain

US rates dipped while sterling rates hit new highs

New record highs for sterling rates, but don't just blame politics

Sterling rates are reaching new record highs, but even though politics are easily blamed, external factors are the more obvious culprit. The 10Y gilt yield touched 5.1% during intraday trading, a level last seen in 2008. Gilts are facing a double-whammy, being both sensitive to inflation through higher oil prices and by being relatively vulnerable to spillovers from US markets. Already since the start of the crisis, markets have had a more hawkish take on the Bank of England's reaction function to higher oil prices. It is more hawkish than for the Fed or the European Central Bank (ECB).

Secondly, gilts' tight correlation with UST's is pushing rates higher on the back of US optimism. With equities in the US hitting new records, the 10Y UST yield has now drifted above 4.4% and seems to find little resistance. A sharp risk-off episode could push yields down again, but so far market sentiment seems very resilient. US macro data is also sturdy, which means that real rates are not showing any signs of economic weakness.

Gilt yields can therefore rise even higher from here, with politics posing the risk of turning the situation into a triple-whammy. So far, however, we're not seeing clear signs of investors turning more wary of the UK because of the political turmoil. For instance, the spread between gilt yields and swaps, which is often seen as a gauge of gilt market stress, has been relatively stable. Also, our FX strategists point out that the currency is not showing any weakness when accounting for rate dynamics. This could change, of course, but with eyes still fixated on the Middle East conflict, politics is likely to remain in the passenger seat.

The US backdrop has come off extremes, but the problems that drove us there remain

Key US market rates had a dip day on Tuesday. The 10yr SOFR rate dipped back below 4%. But only just. Same for the 30yr Treasury yield, dipping below 5%. But to all intents and purposes, we are still looking at these two key metrics at 4% and 5% respectively, with the risk that these are floors for now rather than ceilings.

There is, at the same time, a credible narrative that these aforementioned levels represent 'value'. The 4% level for 10yr SOFR is a nice level to receive at (see more here). And for many players, getting a 5% handle on US Treasuries has been something of a novelty in recent decades. In addition, many players mark 4.5% on the 10yr Treasury yield as a structural buy.

We'd generally agree with these latter thoughts, as a structural view. But that does not mean we can't continue to move higher first, as a tactical view.

The issue here is inflation breakevens remain under rising pressure. They eased lower on Tuesday in tandem with an easing in the price of oil. But there is no dynamic that we can latch on to whereby there is any structural resolution to the supply shock coming from the Strait of Hormuz. Just because the ceasefire is holding does not translate into any imminent release of upward pressure on the oil price.

Change that narrative, and we can absolutely regard the aforementioned levels as in the buy zone. But until then, the risk is market rates continue to edge higher.

Wednesday's events and market views

From the eurozone we have Spanish and Italian PMIs which will be watched. Over the past few weeks, the eurozone economic data have consistently disappointed to the downside relative to consensus. But with the Middle East conflict lingering on, we doubt we will see a positive spin on the data. Markets will also be watching the ECB wage tracker and PPI data for any signs of underlying inflation pressures in addition to the rising energy costs. From the US, we have the ADP employment data for April, which will be watched for signs of weakness, given the payrolls number is due on Friday. The US will also announce the new quarterly refunding plans.

In terms of supply, we open with a 30Y German Bund syndication for €3.5bn. Germany will also auction a 7Y Bund for a similar amount. From the UK we'll see a 9Y Gilt linker for £1.6bn.

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Riksbank likely to hold but hawkish risks are growing

Sweden's central bank is likely to hold rates steady on 7 May, though we see a risk of a more hawkish tone. A rate hike in 2026 may become reality in Sweden if energy prices remain elevated for longer and if the European Central Bank hikes more than once. Our profile for EUR/SEK remains downward-sloping into year-end

The Riksbank in Stockholm, Sweden

A hold, with a hawkish tint

The Riksbank will likely keep rates unchanged at 1.75% at the 7 May meeting. The OIS curve embeds close to zero probability of a hike, and consensus appears unanimous. That said, the chances of policy tightening later this year have increased over the past month.

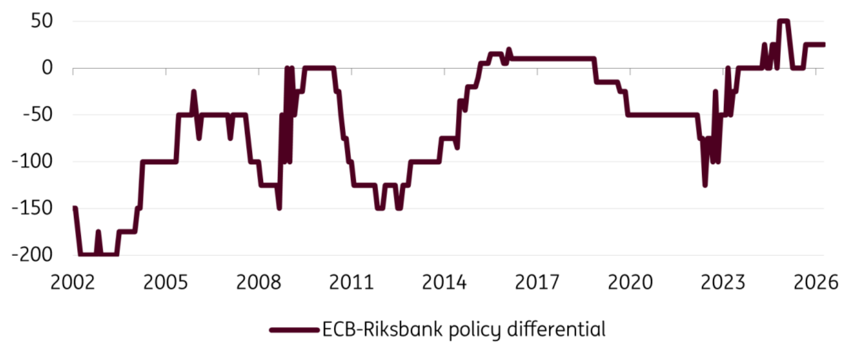
At the 19 March meeting, the Riksbank discussed different inflation scenarios related to the Middle East conflict. In one of them, a prolonged energy shock would warrant monetary tightening despite downside risks to growth. We are clearly moving towards that scenario.

Governor Eric Thedeen said on 22 April that the "risk has risen somewhat that inflation could be higher than we expected a few weeks ago." At the same time, he and other members have stressed that the risks of second-round effects are lower than in 2022, also thanks to a stronger krona. The starting point for inflation is also low.

There is therefore no urgency for the Riksbank to act, and a hold looks likely at this May meeting. However, we see an increasing probability of a hawkish shift in the policy message, with particular concern about risks of the de-anchoring of long-term inflation expectations.

We currently expect the next Riksbank rate hike only in the first half of next year. The longer energy prices remain elevated, the higher the chances of an insurance hike in 2026. Our Riksbank call is also partly tied to our ECB call. Our eurozone macro team currently expects only one ECB hike, but risks are rising of two increases to 2.50%. That would add pressure on the Riksbank to hike as well: the ECB–Riksbank rate gap has never been wider than +50bp.

Riksbank will keep an eye on ECB policy too



Source: ING, Macrobond

Inflation not an immediate concern

March's CPIF reading of 1.6%, down from 1.7% in February, was largely driven by a nearly 20% month on month fall in electricity prices. This reflects seasonal dynamics following the winter period, as well as a decline in package holiday prices, which helped offset increases in petrol and diesel prices of 15% and 28%, respectively, linked to the war.

Fortunately for Sweden, the economy is less exposed to fossil fuel driven inflation than many of its European peers. According to Eurostat data, around 50% of total available energy is renewable and a further 26% is nuclear, meaning that energy consumption is largely insulated from fossil fuel price movements.

We therefore expect inflation pass through to be more moderate and slower in Sweden than in the EU overall. The impact of VAT reductions on food this year should also prevent CPIF from rising as much as in the eurozone. However, the Riksbank's focus may be more on developments in longer term inflation expectations, as well as on a potentially widening gap with the ECB.

Updated EUR/SEK view

Markets are pricing zero probability of a hike at this meeting, but around a 50% implied probability of a Riksbank hike in June. This likely reflects expectations of a more hawkish tilt at this meeting than in our baseline. That said, a clearer signal of openness to tightening at a later stage could be sufficient to keep expectations for an August–September hike alive and avoid a negative SEK reaction.

We have recently revised our EUR/SEK scenario modestly higher, driven by a wider EUR–SEK front end interest rate differential. That said, we retain a downward sloping profile for the pair, with a year end target of 10.60. The growth drag should be more pronounced in the eurozone than in Sweden, and if the ECB delivers two hikes, we would expect the Riksbank to follow with one increase.

In the near term, equity market dynamics remain key for EUR/SEK. Even in the event of renewed escalation in the Middle East, upward volatility in the pair is more likely to be driven by the reaction in global equities than by the direct impact on crude prices. Our end 2Q target remains at 10.75, which embeds a ceasefire agreement and a partial reopening of the Strait of Hormuz.

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FX Daily: It’s good to be hawkish

Uncertainty in the Gulf and high oil prices mean that central bankers remain on high alert for the broadening threat of inflation. The Reserve Bank of Australia hiked 25bp again overnight having seen second-round inflation effects emerge. How central bankers react to the inflation shock will be key for FX. And the dollar is getting a lift from the Fed story

Michele Bullock, Governor of the Reserve Bank of Australia, which raised rates by 25bp overnight after seeing second-round inflation effects emerge

USD: Fed to examine the inflation vs. employment trade-off

A look at how G10 currencies have performed since the Gulf crisis started in early March shows the Australian dollar and Norwegian krone at the top of the pack and the Japanese yen and the Swedish krona at the bottom. The outperformers are net energy exporters, but also have policy rates at 4.00% and above backed by hawkish central banks. The underperformers have seen their terms of trade decline as energy import costs rise, plus have pretty dovish central banks. It looks like investors are preferring currencies backed by central banks prepared to run restrictive monetary policy. In fact, the Reserve Bank of Australia overnight cited the emergence of second-round effects as one of the reasons driving its third hike in this tightening cycle – taking the policy to 4.35%. We also think there is a good chance that Norges Bank hikes this Thursday, which would take the policy rate to 4.25%.

We mention the above for some context on the dollar. Following last week's hawkish FOMC meeting and still elevated energy prices, the market has swung to pricing 6-7bp of Fed tightening this year. So, no longer is it just a question of delayed Fed easing, but whether the Fed will respond to this inflation shock after all with tighter policy. The debate here is where the Fed stands on its dual mandate of maximum employment and price stability, which brings us to the data this week. Here, the focus is very much on the jobs data, with JOLTS data (today), monthly ADP data tomorrow and the April NFP data on Friday. We suspect even a largish decline in NFP this month might not be enough to derail Fed tightening expectations, given the volatility of this jobs data recently and the emerging view that the size of the labour force may be flat right now.

In terms of the prices, the focus today will be on the ISM April services data and whether selling price expectations are picking up. If so – and also given that market-based measures of inflation expectations are on the rise – the Fed is going to be dragged more towards the price stability side of its mandate.

Unless there are clear signs of moves towards sustainable peace in the Gulf – and there is some focus that President Trump wants a deal before his trip to China on 14/15 May – we suspect high oil prices can keep short-dated US rates and the dollar bid. That can see DXY drifting back towards the 99.00/99.50 area this week.

Chris Turner

EUR: Could natural gas be the next point of concern?

Somewhat ominously, ING's Head of Commodities Strategy, Warren Patterson, is today warning that the natural gas market is underpricing the risks of lost supply in the Persian Gulf. One of the saving graces for the eurozone this year has been that natural gas prices have spiked nowhere near as high as they did in 2022, meaning that the negative shock to the eurozone's terms of trade has been nowhere near as large. Should Warren be correct in that natural gas prices risk a sizeable leg higher, the euro would come under broader pressure.

In recent weeks, we have been pitching the story that 1.17 looks a fair level for EUR/USD given our key assumptions for energy prices, central bank policies and equity markets. That is still the case. But any further pricing of Fed tightening or much higher natural gas prices presents increasing downside risks to that 1.17 EUR/USD equilibrium.

Expect oil prices to again drive EUR/USD today, with risks slightly skewed more to the 1.1630/50 area.

Chris Turner

JPY: Decreasing marginal impact of intervention

USD/JPY is drifting higher again as it recovers from the effects of Japanese FX intervention. It looks reasonably clear that the Bank of Japan sold in excess of $30bn last Thursday and may have followed it up with more modest intervention over the last two trading days. Indications of whether there has indeed been follow-up intervention will not emerge until late Japanese time on Thursday when the BoJ updates its current account balance data. Nonetheless, the market is bracing for more intervention in holiday-thinned markets.

However, Japanese authorities will have their work cut out in trying to keep USD/JPY offered.

Energy prices remain high and US interest rates are on the rise, which creates stiff headwinds for any yen appreciation. And as we discuss above, dovish central banks are seeing their currencies being punished. In short, the fundamentals remain firmly yen negative and Japanese authorities are just trying to buy some time.

We suspect USD/JPY will drift back to the 160 level over the coming weeks unless there is a clear breakthrough in peace negotiations in the Gulf.

Chris Turner

AUD: High-yielding commodity currency

AUD/USD is a little lower today despite the RBA hiking by 25bp to 4.35%. The sell-off looks to be driven by the view that the RBA may now be entering a pause, having brought policy to mildly restrictive. However, we doubt the sell-off needs to extend too far given that the RBA has once again followed through on its hawkish credentials and stands ready to do more. Here, the market thinks the RBA can skip the June meeting but hike again at either the August or September meeting.

Expect AUD to find continued good demand on dips and the core trend of bullish AUD/JPY to remain intact as investors position for the trade-offs in both energy dependency and central bank policy.

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Sharp CPI overshoot raises risk of more aggressive rate moves in the Philippines

Headline CPI in the Philippines surged to a three year high of 7.2% YoY in April, driven primarily by broad based food inflation and fuel linked pressures on transport and utilities. With oil prices staying elevated and inflation set to rise above 8% in 2Q, a June rate hike is a done deal, with risks increasingly skewed toward a larger or faster move

Food inflation was the key driver of the CPI spike in April

CPI inflation surges to three-year high

Headline CPI inflation in the Philippines rose sharply to 7.2% year-on-year in April, much higher than our expectation of 5.2%, and up by over 3 percentage points from 4.1% YoY in March.

While the jump in transport inflation was expected due to higher oil prices, it was the significant acceleration in food inflation, together with second-round effects from the continued pass-through of higher global oil prices to electricity, gas, and restaurant prices, that drove the upside surprise.

Food contributed the most, followed by transportation

- **Food inflation**, which accounts for roughly 38% of the CPI basket, remained the key driver, with its contribution to headline inflation doubling to 2.3ppt from 1.1ppt in the previous month. Rice prices rose 13% YoY and accounted for roughly half of the food inflation, while non rice food prices contributed the remainder – suggesting that price pressures within the food category were more broad based and symmetrically driven by fertiliser shortages, rather than being solely attributable to rice specific factors.

- **Fuel** inflation was up 76% YoY while driving transport inflation, up by 21% YoY, was the second largest contributor to headline inflation, accounting for a total contribution of around 2ppt, or about 28% of overall YoY inflation. Housing, electricity, and gas contributed a further 1.7ppt, also largely driven by higher fuel prices.
- **Services inflation**, in contrast, did not see any large spikes, with its overall contribution accounting for less than 1ppt of headline inflation. However, core inflation rebounded to 3.9% YoY – led by a 20% YoY surge in recreational services – leaving it just a touch below the Bangko Sentral ng Pilipinas (BSP's) 4% target.

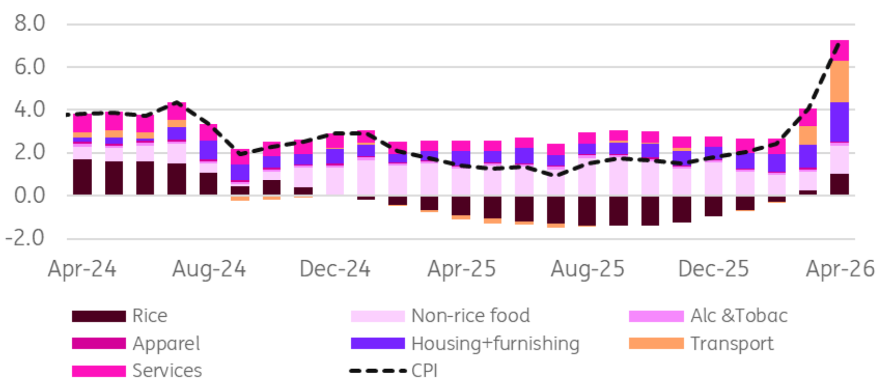
A 25bp hike is a done deal, with risks tilted towards a 50bp move

We continue to expect front loaded and measured rate hikes by the BSP. With negotiations around the US Iran conflict dragging on and no imminent de escalation in sight, our base case has shifted toward higher global oil prices, with supply disruptions easing materially only in 3Q. Against this backdrop, we now expect Brent crude prices to average around US$104/bbl in 2Q, with CPI inflation likely to rise further and average above 8% in 2Q, pushing our full year inflation forecast to 6% YoY.

The sharp CPI upside surprise reinforces the risk of larger and faster rate moves by the BSP. Inflation pressures have become increasingly broad based, with food and fuel shocks feeding into core inflation and services, raising the risk of more persistent second round effects. In this context, a 25bp rate hike in June looks assured, with risks clearly tilted toward a 50bp move.

Moreover, given the BSP's preference for measured policy adjustments and the recent sharp depreciation pressures on the PHP, a rate hike ahead of the next scheduled policy meeting cannot be ruled out. As such, we now expect a further 75bp of cumulative rate hikes from the BSP in our base case. Under a prolonged war scenario, however, a deeper and more aggressive hiking cycle would likely follow.

Contribution to YoY Inflation pp



Source: CEIC

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The Commodities Feed: Middle East re-escalation pushes oil prices higher

A re-escalation of tensions in the Persian Gulf pushed oil and gas prices higher as the market once again reprices the duration of supply disruptions from the region

Energy - Tensions re-emerge in the Middle East

We are seeing the first signs of the ceasefire between the US and Iran breaking down amid a re-escalation in the Persian Gulf. ICE Brent rallied 5.8% yesterday to settle above $114/bbl. The US struck a number of Iranian boats. There are claims that Iran struck a US warship, which the US has denied. In addition, Iran has resumed attacks on infrastructure in neighbouring countries, with the UAE intercepting several Iranian missiles, while Fujairah port was hit by a drone. This port is important for UAE oil exports. It is situated outside the Strait of Hormuz, which allowed oil exports to continue (and, in fact, to increase) despite the war and blockade of the Strait. Prior to the ceasefire, Fujairah was targeted several times. Even so, oil loadings continued largely unaffected, with only temporary halts. LSEG data shows that crude oil exports from Fujairah totalled nearly 1.7m b/d in April.

This re-escalation comes at a time when the US has started guiding commercial vessels through the Strait of Hormuz, under “Project Freedom”. Two US-flagged commercial vessels have passed through the Strait of Hormuz under the plan, according to the US. Clearly, continuation of "Project Freedom" risks further escalation. Any relief from stranded vessels making their way through the Strait will be temporary, with very few inbound vessels moving into the Persian Gulf.

Markets may find some relief today following President Trump's overnight comments suggesting the conflict could continue for another two to three weeks. However, markets are likely to view this with considerable scepticism, given the recent escalation and the repeated extensions of projected timelines for ending hostilities since the conflict began.

European gas prices also moved higher yesterday following the escalation in the Persian Gulf. TTF settled 5.7% higher on the day and at its highest level since early April. While EU LNG imports in April fell from record levels in March, LNG send-outs remain seasonally high, which has kept EU gas storage trending higher, approaching 34% full vs a 5-year average of almost 46% full. We continue to believe the European gas market and Asian LNG market are underpricing the scale of the supply impact we are seeing from the Persian Gulf. There is little the global gas market can do to offset Persian Gulf LNG supply losses other than to see further demand destruction, and to do that, higher prices are needed.

Metals – Pressure remains on gold

Gold extended its decline for a second straight session, with spot prices hovering near $4,500/oz yesterday, as US Treasury yields moved higher amid the rally in oil prices. Higher energy prices mean inflation concerns are only growing, suggesting that rates will remain higher than originally anticipated. This has weighed on non-yielding assets, such as gold. Meanwhile, the broader strength in the USD will only add further pressure. ETF holdings in gold have fallen by more than 2.2% since the start of hostilities in the Persian Gulf, while the managed money net long in COMEX gold is at its lowest level since February 2024. For now, the gold market appears less focused on the lingering geopolitical risk and more on rising Treasury yields.

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Rates Spark: 10yr SOFR hits the 4% handle

The 4% handle is where the fixed rate receiver conversation begins in earnest. We've been here before. In fact, we saw peaks at 4.6%, 4.4% and 4.3% in 2023, 2024 and 2025 respectively. We're likely heading back in that direction, but note that the peaks have been less pronounced each time we've hit one. Greedy? Maybe 10-20bp higher from here is the bliss level

With the 10yr SOFR hitting 4% and breakeven inflation at 2.5%, it creates opportunities for fixed and floating rate strategies

The 10yr SOFR rate touched 4% on Monday. That compares with 3.5% just before the Iran war broke out. That 50bp rise has moved the 10yr SOFR rate into a zone that we identify as suitable for receiving fixed. Or at least the discussion in earnest should occur once there is a 4% handle on the 10yr. The starting point for any swap to floating strategy is to get in at a nice elevated rate to receive at for the long term. From there, the play is to let the Fed funds rate evolve, and over time the bet is it averages well below 4%. If so, carry is a cumulative positive. If the funds rate was to average the 3% rate it's averaged at historically (past three decades), then there is some 100bp of carry per annum.

That all being said, we likely have not seen the highs for the 10yr SOFR rate. The war story continues to unfold in a troubling manner, in the sense that no resolution is on the horizon. This is correlating with a slow but steady ratchet higher in inflation expectations. The 10yr breakeven rate hit 2.5% on Monday, and is poised to continue to creep higher. For any given real rate (which has been steady in recent weeks), that translates into upward pressure on nominal rates. In other words, it continues to place upward pressure on the likes of the 10yr SOFR rate and the 10yr Treasury yield. For players looking to swap to floating, the strategy now seems at a good level. But a 10-20bp 'improvement' is also quite plausible in the coming weeks.

From here, we'd be tactically setting fixed-rate payers, as we want to be short the bond market as inflation expectations continue to rise. But the structural play to average in with fixed rate receivers that can then be left on for their full term. Even if the Fed hikes rates, in all probability, the subsequent moves would be cuts, and in the end it's the average tendency over time that really matters for the liability manager looking to lower interest rate costs. For the asset manager, the play is to be short duration now. But beyond that, there will likely be buyers should we break above 4.5%, and from there it makes increasing sense to start to average in. The danger scenario is we head to 5%, but we'd expect the US to find a 'war policy' way to avert such an outcome.

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Webinar: Asia's energy shock - Who is most exposed?

Join our live webinar on 7 May as ING's Deepali Bhargava, Lynn Song and Min Joo Kang discuss the impact of surging oil prices on key economies across Asia. Sign up here

Asia accounts for the bulk of oil flows through the Strait of Hormuz, with China, India, and Japan among the largest recipients. But exposure to this supply shock is far from uniform. Countries differ widely in their strategic oil reserves, their ability to cushion price spikes through policy, and how dependent they remain on imported fossil fuels versus alternative energy sources.

Join ING's experts as they explain:

- Why some countries are better placed to manage the disruption than others
- How differences in the energy mix and import dependence shape vulnerability
- What this divergence means for growth, inflation and policy choices across Asia

Speakers

Deepali Bhargava, Regional Head of Research, Asia-Pacific

Lynn Song, Chief Economist, Greater China

Min Joo Kang, Senior Economist, South Korea, Japan

Hosted by ING Editor William Pesek

Details

Date: Thursday, 7 May

Time: 1500 HKT/ 1600 KST /0900 CEST

The webinar will last 30 minutes, including a Q&A session at the end. The event will take place online and the waiting room will open 60 minutes ahead of the scheduled start time. A joining link will be emailed following registration and you will receive a reminder email 10 minutes before the scheduled start time.

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ECB moves closer to June hike

While the European Central Bank kept interest rates on hold at today's meeting, ECB president Christine Lagarde's comments at the press conference suggest that a June hike has come closer

At today's press conference, ECB president Lagarde made a hawkish shift with a rate-hike bias

As stagflationary pressures in the eurozone increase, the ECB has decided to keep interest rates on hold. In its policy statement, the ECB acknowledged rising inflationary pressures but also more downward risks to growth. ECB president Christine Lagarde's comments during the press conference stressed the intensified risks for both growth and inflation. Lagarde stressed that the current state of the eurozone economy had moved away from the March base case scenario, but she refused to indicate where the ECB saw the eurozone economy compared with the alternative scenarios from March.

The most remarkable comments during the press conference were the mentioning of a debate on a rate hike at today's meeting. While Lagarde stressed that the decision to keep rates on hold today had been taken unanimously, the mention of a rate hike debate clearly suggests that the ECB has moved closer to a rate hike at the June meeting.

All of this means that unless there is a quick end to the war in the Middle East, headline inflation continues to increase and knock-on effects on transportation, food prices and other parts of the supply chain continue, the ECB is clearly moving towards a rate hike in June.

Moving closer to June hike

The motivation or justification for such a rate hike was not entirely clear today. Unfortunately, no journalist actually asked why the ECB, or at least some ECB members, actually saw the need for a rate hike. In fact, while there have been many references to 2022 when assessing next steps for the ECB, the experience of 2011 might be a better starting point. Back in 2011, the ECB hiked interest rates – admittedly from slightly lower levels than currently – to tackle rising inflationary pressures. Only to find out that these rate hikes pushed the eurozone economy further into stagnation. As the ECB had underestimated the adverse effects of the sovereign debt crisis, the 2011 rate hikes were reversed quickly. Underestimating the adverse impact of a shock and focusing too much on rising inflation as a result of higher energy prices? The ECB has been there.

All in all, the main take-away from today’s ECB meeting can probably be described as another hawkish shift, introducing a clear hiking bias to its wait-and-see stance. It’s still hard to see that the ECB would really want to fight an exogenous supply shock at the cost of worsening an economic downturn. However, a rate hike, be it symbolic or even a policy mistake, at the June meeting has clearly become more likely today.

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Why UK bond yields could rise further on a deeper political crisis

Britain's local elections are a potential market flashpoint. Minimal political risk is priced, even as bond yields hit post 2008 highs of 5%. Borrowing costs could initially climb if the political situation worsens, but a leadership change need not materially alter the fiscal or Bank of England outlook

UK Prime Minister Keir Starmer is in a fight for political survival

Local elections: What's happening and why it matters

Britain's local elections come at a particularly sensitive moment for UK financial markets. Government bond – gilt – yields have just risen above 5% for the first time since 2008, a time when the economy was growing significantly faster than it is today. Much of the latest spike is down to inflation, but the politics can't be ignored. Prime Minister Keir Starmer is in a fight for political survival and a bad election night on 7 May could prove fatal.

Up for grabs are 5013 local council seats – a little over a quarter of Great Britain's total – plus the Scottish and Welsh parliaments. Starmer's Labour Party looks set to lose up to 90% of the 2268 of its council seats up for election, according to some predictions.

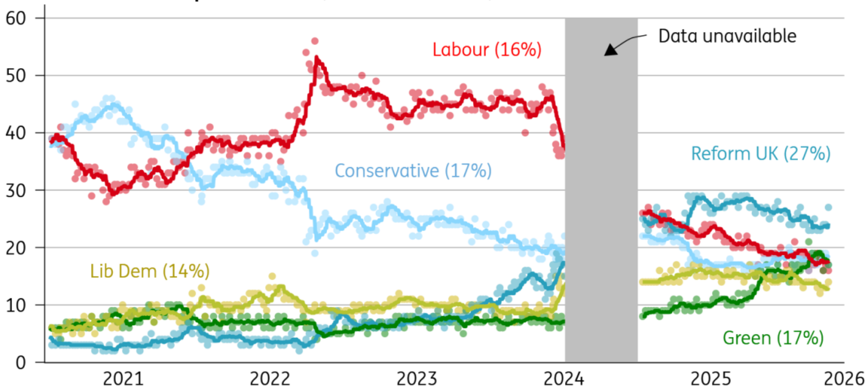
The scale of the defeat will be key. But so too is what drives it.

We know that Nigel Farage's Reform UK is likely to be the main beneficiary of May's elections. The party is running between 25-30% in national polls, up from 15% at the 2024 election. Much of that gain has come at the expense of the Conservative Party, but Reform's rise still poses an issue for Labour.

In Britain's First Past the Post electoral system, general elections are typically won or lost depending on whether the left or the right is more divided. And Reform UK's increasing dominance of the political right comes as the left is increasingly split.

The rise of the Green Party is a bigger issue for Labour than Reform UK

UK General Election poll - YouGov (latest in brackets)



Source: YouGov

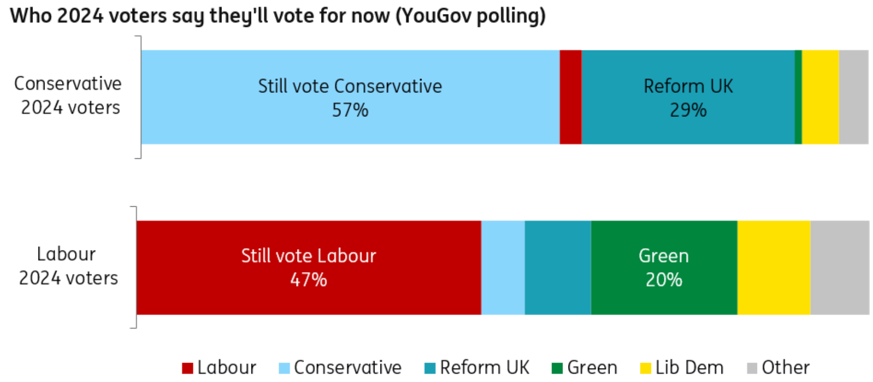
Solid line is the one month moving average

Labour, the Lib Dems and the Green Party are all polling between 14-17% nationally. That's a collapse from 34% at the last election for Labour, but crucially a surge for the Greens, whose share has doubled from 7% in June 2024. If a general election took place tomorrow, Reform would be much more likely to command a majority in Parliament.

To illustrate the point, at 14% of the national vote, Reform won just five seats at the 2024 election. At 24%, that would surge to 188 seats; at 31%, it's 335, according to Multi-level Regression and Post-stratification (MRP) polling by Electoral calculus in January and April of this year. 326 seats are needed for an outright majority.

Britain isn't on the brink of a general election. The next vote isn't until 2029. But Labour's fortunes in three years' time rely on stemming the tide of votes to the Greens and other left-wing parties. A big defeat at the local elections would inevitably focus minds within Labour on what it needs to do to win back support. Polymarket puts a 67% chance on Starmer leaving office by year-end.

20% of Labour 2024 voters would now vote Green



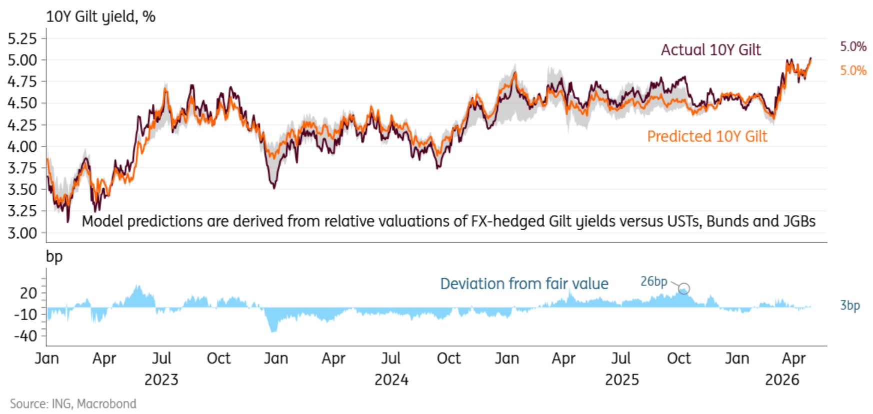
Source: YouGov

How bad would a leadership contest be for markets?

Gilts are already under scrutiny due to inflation risks, and adding political uncertainty to the mix could further push (global) investors to look elsewhere. Whilst we've seen some swings in gilt yields on days with political headlines, we estimate the risk premium on 10Y gilts is still limited. If the situation were to escalate or a leadership contest were to be triggered, the 10Y yield could easily rise another 10-20bp, which would be in line with the nervousness seen in markets prior to the budget announcement last year.

The chain of logic among investors looks like this: a new Labour leader and prime minister would likely mean a new chancellor. A new chancellor, under pressure to take the party towards the left to counter the threat posed by the Green Party, might be more pro-spending. That potentially means new, looser fiscal rules. And new fiscal rules would likely mean more borrowing.

There's virtually no risk premium in 10-year gilts



Source: Macrobond, ING

But the reality might be more nuanced. The infamous 2022 "mini budget", which sparked a sharp though relatively short-lived spike in yields – and mortgage rates – is well etched into the political memory in Westminster. No politician wants to risk triggering a re-run.

Sure, leadership hopefuls may criticise the Office for Budget Responsibility, the independent arbiter of Britain's fiscal rules. Angela Rayner, the betting markets' favourite to become the next Labour leader, has said the OBR fails to account for the wider benefits of public investment.

But that is not the same thing as proposing a new set of fiscal rules. Leadership contenders will be under heavy pressure to rule out changes.

Remember, too, that a leadership contest can only be triggered if 20% of Labour MPs (that's 81) back a single rival candidate. Labour lawmakers might ultimately agree on the need for a new leader, but will they back the same horse?

It might not come to that. Leaders often go when their cabinet turns against them; we saw that with the departure of Boris Johnson in 2022. Nevertheless, a successful leadership candidate will need to command support from across the party. And that might require them to pick a chancellor from a different faction.

A leadership contender on the left of the party might pick someone from its right to head up the Treasury as the price of gaining sufficient support. Doing so might also help calm investor nerves about an impending surge in borrowing.

There also don't appear to be loud calls from within the party for big fiscal loosening right now. A recent speech by two Labour MPs, representing opposite wings of the party, pitched a new economic agenda focused on supply-side policies like tax reform, over big increases in public spending. There haven't so far been widespread calls for a large universal energy support package, either.

Political noise doesn't necessarily boost chances of BoE hikes

The bottom line is that the near-term fiscal trajectory – borrowing over the next one or two years – is unlikely to look wildly different whoever is in charge. And notwithstanding the war in Iran, the fiscal backdrop had been looking brighter; the structural deficit was – and still could – fall this year on the ongoing freeze in tax thresholds.

That matters because it suggests domestic politics is unlikely to have a large bearing on Bank of England policy. And even if it does, it's unlikely the next budget will come earlier than currently planned in late autumn. The Bank can't act on fiscal policy until it is formally announced. The overwhelming focus will remain on the energy crisis and its impact on inflation.

Longer-term, the story becomes more problematic for markets – but again, we suspect this is true whether it is Starmer or someone else in Downing Street. The main fiscal rule – to bring day-to-day spending into balance with tax revenues within three years – is currently met on paper. But only by promising sizeable tax rises, many of which aren't scheduled to kick in until 2029. Real per-capita spending on public services is also slated to fall in that year – a year, don't forget, when the next general election is likely to fall.

In an environment where Labour is struggling in the polls, there will be a lot of pressure to either cancel or offset those plans. And that's before considering the likelihood that defence spending plans will need to be ramped up.

FX markets price little UK election risk

In FX markets, it feels like there is fatigue over the event risk of these local elections. Sterling bears have been talking about 7 May for a couple of months now, but these risks have been swamped by developments in the Middle East. Looking at the FX options market, the volatility term curve shows just a minor kink around the local election date. And for FX options expiring around the day of the event risk, a 30 pip range is priced for EUR/GBP compared to 14 pips on a 'normal' day.

As above then, a fresh bout of risk premia coming through the fiscal side could demand some temporary weakening in the pound. Until, however, energy markets calm down, it is hard to see EUR/GBP breaking clear of swap differentials. These have narrowed in sterling's favour based on the view that the BoE is going to react more aggressively (tighten) than the ECB to higher energy prices. Until the BoE can forcefully get across the view that it is going to hike less than the ECB, it seems as though EUR/GBP can linger a lot longer in the middle of a 0.86-0.88 range than most – including us – had been expecting.

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